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## China Financials | Asia Pacific

## Tracking industrial risks: still healthy profit growth and reduction of overcapacity risks despite slower headline macro numbers

## Key Takeaways

- YTD manufacturing profit growth accelerated further to 20.4% yoy in April 2026, with single-month growth at 19.3% yoy.
- Strong export growth at 14.5% yoy and continued PPI recovery - - up 1.7% MoM and 2.8% YoY in April – have supported healthy manufacturing profit growth
- Nearly 40% of sectors (by liability) showed profit growth improvement under our updated classification, including not only upstream sectors.
- April YTD manufacturing FAI growth dropped to 1.2% from 4.1% yoy in March, from a high base last year.
- Still rational industrial credit growth without loan volume growth push from regulator. Industrial firms' liability growth was 5.9% yoy, vs. 5.5% last month.

**Profitability improvement continued despite slower headline macro growth numbers in April:** We reclassified 31 manufacturing sub-sectors based on profit growth and FAI-IP gap trends at the end of 2025 and 2026 YTD and see that 37.2% of sectors (by liability) have improved profitability. Those sectors with improved profit trend are not limited only to upstream sectors – they also include downstream sectors like electronic devices. Overall gross margin improved 6bps yoy, helped by both PPI rebound and cost control. We think it will take some time for PPI recovery to translate into profitability rebound across different sectors. However, we expect healthy profit growth at manufacturing sectors to help industrial risk digestion at banks.

**Continued overcapacity reduction as anti-involution remains a key area of policy focus in 2026:** Despite some volatility in recent months' investment growth, we believe overcapacity reduction is still in progress among manufacturing sectors, with capex slowing down in 84.5% of sectors (by liability). We expect this and healthy manufacturing profit growth to help reduce industrial credit risks and support steady credit demand.

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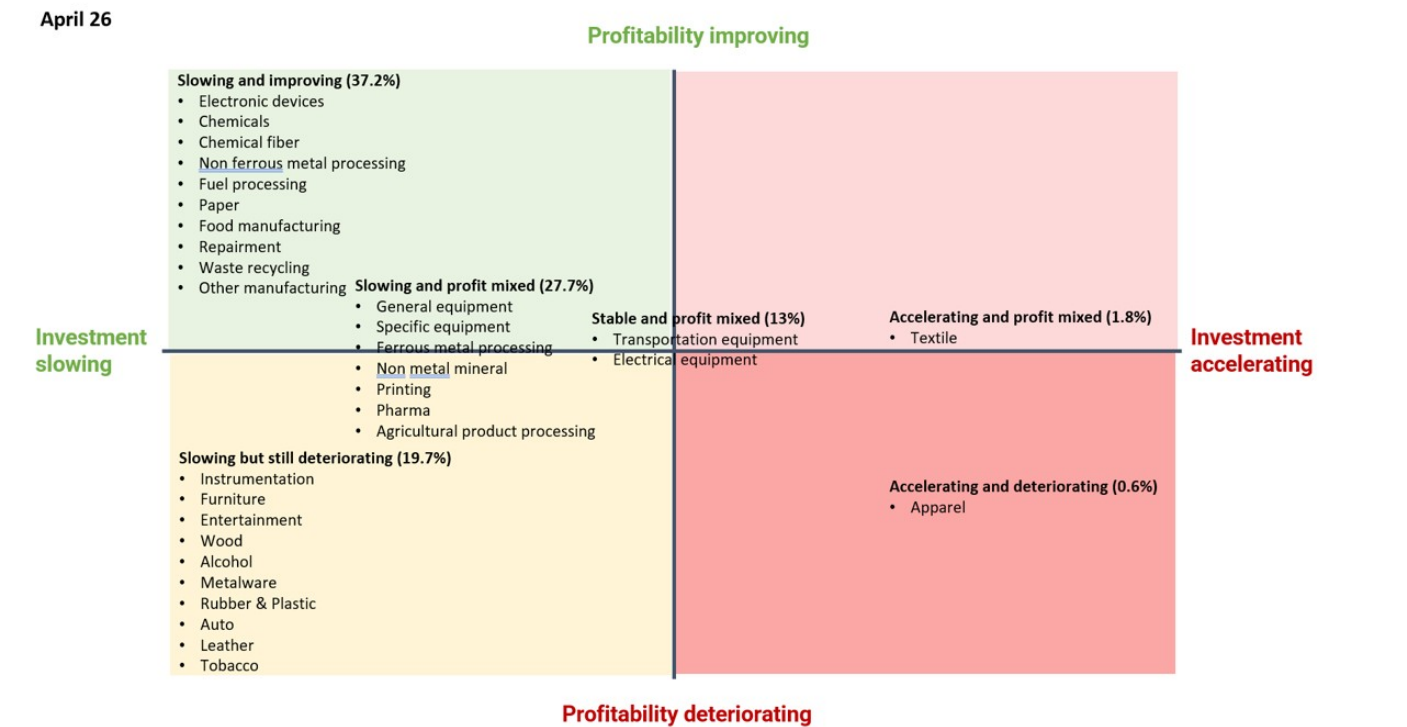
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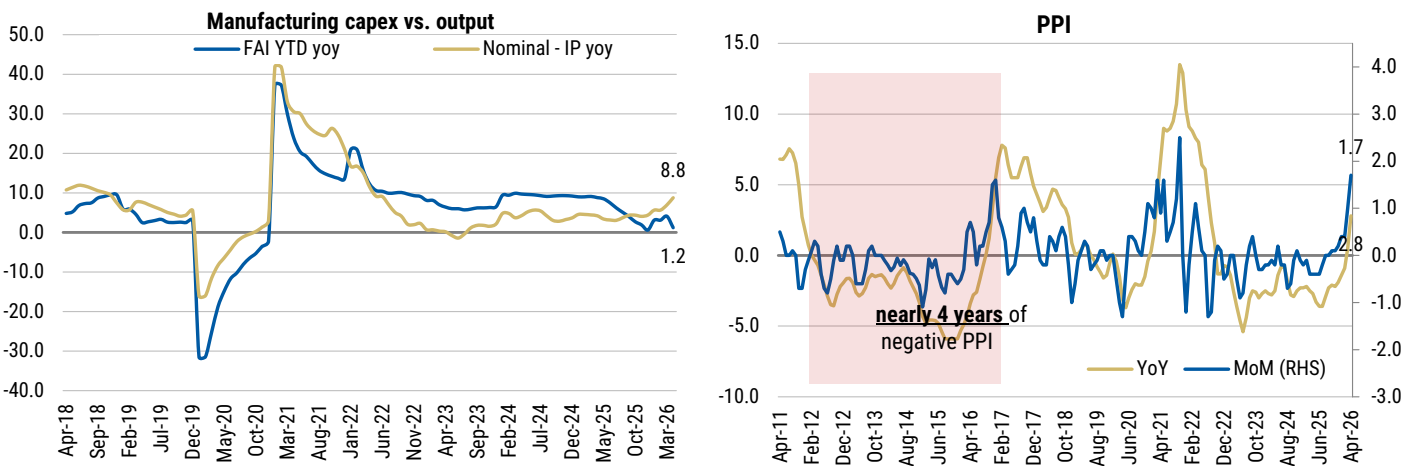
**Exhibit 1:** 84.5% (in terms of liabilities) of sectors slowed capex in March 2026 vs. 1H24; 37.2% of sectors showed better profit trends in April



Note: number in () represents their mix in total manufacturing liabilities

Source: NBS, CEIC, Morgan Stanley Research. Note: number in () represents their mix in total manufacturing liabilities.

**Exhibit 2:** Manufacturing FAI and IP gap declined to -7.6%, from -2.8% last month, with lower FAI growth; Strong PPI growth at 1.7% MoM and 2.8% YoY.



Source: NBS, CEIC, Morgan Stanley Research

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| Not-Rated/Hold        | 3                 | 0%         | 0                                | 0%             | 0%                   | 1                                                 | 0%                    |
| Underweight/Sell      | 551               | 15%        | 86                               | 9%             | 16%                  | 201                                               | 12%                   |
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## INDUSTRY COVERAGE: China Financials

| COMPANY (TICKER)                                 | RATING (AS OF) | PRICE* (06/03/2026) |
|--------------------------------------------------|----------------|---------------------|
| <b>Chiyao Huang</b>                              |                |                     |
| China International Capital Corp. Ltd. (3908.HK) | O (02/28/2025) | HK\$19.60           |
| China Merchants Securities Co Ltd (600999.SS)    | U (09/29/2022) | Rmb17.31            |
| China Merchants Securities Co Ltd (6099.HK)      | U (10/29/2024) | HK\$15.21           |
| CITIC Securities Co. (6030.HK)                   | E (10/29/2024) | HK\$25.86           |
| CITIC Securities Co. (600030.SS)                 | O (08/07/2025) | Rmb25.60            |
| East Money Information Co Ltd (300059.SZ)        | E (09/19/2025) | Rmb18.91            |
| Futu Holdings Ltd (FUTU.O)                       | O (11/18/2024) | US\$101.97          |
| Galaxy Securities (6881.HK)                      | E (02/27/2020) | HK\$7.84            |
| Galaxy Securities (601881.SS)                    | U (09/29/2022) | Rmb12.31            |
| GF Securities (000776.SZ)                        | E (08/07/2025) | Rmb19.28            |
| GF Securities (1776.HK)                          | E (01/06/2023) | HK\$16.54           |
| HTSC (601688.SS)                                 | E (09/23/2024) | Rmb19.12            |



| HTSC (6886.HK)                                      | E (09/23/2024) | HK\$16.59 |
|-----------------------------------------------------|----------------|-----------|
| <b>Richard Xu, CFA</b>                              |                |           |
| Agricultural Bank of China Limited (601288.SS)      | E (05/07/2019) | Rmb6.36   |
| Agricultural Bank of China Limited (1288.HK)        | O (10/19/2020) | HK\$5.84  |
| Bairong Inc. (6608.HK)                              | E (09/09/2025) | HK\$6.03  |
| Bank of Beijing Co Ltd (601169.SS)                  | E (08/17/2022) | Rmb5.13   |
| Bank of Chengdu Co Ltd (601838.SS)                  | O (08/17/2022) | Rmb19.29  |
| Bank of China Limited (601988.SS)                   | E (05/07/2019) | Rmb5.95   |
| Bank of China Limited (3988.HK)                     | O (01/10/2020) | HK\$5.27  |
| Bank of Communications (3328.HK)                    | U (05/20/2022) | HK\$7.42  |
| Bank of Communications (601328.SS)                  | U (09/05/2014) | Rmb6.78   |
| Bank of Hangzhou Co Ltd (600926.SS)                 | E (08/17/2022) | Rmb16.02  |
| Bank of Ningbo Co. Ltd (002142.SZ)                  | O (08/17/2022) | Rmb31.24  |
| China CITIC Bank Corporation Limited (601998.SS)    | E (04/16/2025) | Rmb7.45   |
| China CITIC Bank Corporation Limited (0998.HK)      | O (04/16/2025) | HK\$7.38  |
| China Construction Bank Corp. (0939.HK)             | O (10/11/2012) | HK\$8.57  |
| China Construction Bank Corp. (601939.SS)           | E (05/07/2019) | Rmb10.06  |
| China Everbright Bank Co Ltd (6818.HK)              | U (05/12/2023) | HK\$3.20  |
| China Everbright Bank Co Ltd (601818.SS)            | U (05/20/2022) | Rmb3.12   |
| China Merchants Bank (600036.SS)                    | O (01/07/2019) | Rmb38.50  |
| China Merchants Bank (3968.HK)                      | O (09/20/2018) | HK\$47.86 |
| China Minsheng Banking Corp. (600016.SS)            | O (08/28/2025) | Rmb3.54   |
| China Minsheng Banking Corp. (1988.HK)              | O (05/12/2023) | HK\$3.44  |
| Chongqing Rural Commercial Bank (3618.HK)           | U (05/12/2023) | HK\$6.41  |
| Hua Xia Bank (600015.SS)                            | U (06/30/2015) | Rmb6.85   |
| Industrial and Commercial Bank of China (1398.HK)   | O (08/09/2013) | HK\$6.72  |
| Industrial and Commercial Bank of China (601398.SS) | E (09/19/2022) | Rmb7.28   |
| Industrial Bank Co. Ltd. (601166.SS)                | O (02/25/2019) | Rmb18.49  |
| Lufax (LU.N)                                        |                | US\$1.62  |
| Ping An Bank (000001.SZ)                            | O (05/07/2019) | Rmb10.99  |
| Postal Savings Bank of China Co Ltd (1658.HK)       | O (11/01/2016) | HK\$5.04  |
| Qifu Technology Inc (QFIN.O)                        | O (08/25/2020) | US\$16.56 |
| Shanghai Pudong Development Bank (600000.SS)        | E (08/05/2025) | Rmb9.25   |

Stock Ratings are subject to change. Please see latest research for each company.

\* Historical prices are not split adjusted.